Money and Credit — MCQ Worksheet

Social Science — Economics • Chapter 3 • *25 Questions, 1 mark each — Total: 25 marks*

Instructions: *Choose the correct option (A / B / C / D) for each question. Each question carries 1 mark. There is no negative marking. Suggested time: 30 minutes.*

Q1. In a barter system, exchange takes place:

(A) With money
(B) Goods directly for goods
(C) Through banks
(D) Through cheques

Q2. Money replaces barter because it solves the problem of:

(A) Excess production
(B) Double coincidence of wants
(C) Transportation
(D) Accounting

Q3. In modern economies, currency is issued by:

(A) Any bank
(B) The central bank (RBI in India)
(C) The Prime Minister
(D) Private firms

Q4. The Reserve Bank of India was established in:

(A) 1935
(B) 1947
(C) 1969
(D) 1991

Q5. Most deposits with commercial banks are in the form of:

(A) Demand deposits
(B) Fixed deposits only
(C) Bonds
(D) Shares

Q6. A demand deposit can be withdrawn:

(A) Only after 5 years
(B) On demand by cheque
(C) After 10 years
(D) Never

Q7. Banks keep with themselves as cash, only:

(A) 100% of deposits
(B) About 15% of deposits
(C) 75% of deposits
(D) No money

Q8. The major activity of banks is:

(A) Lend out deposits to borrowers and earn interest
(B) Print currency
(C) Build roads
(D) Provide insurance only

Q9. Difference between borrowing rate and deposit rate is the:

(A) Profit / income of the bank
(B) Interest
(C) Penalty
(D) Tax

Q10. A debt arrangement in which lender supplies borrower with money/goods/services in return for promise of future payment is called:

(A) Insurance
(B) Credit
(C) Charity
(D) Mortgage only

Q11. Property pledged as security against a loan is called:

(A) Token
(B) Collateral
(C) Premium
(D) EMI

Q12. Terms of credit include:

(A) Interest rate, collateral, documentation, mode of repayment
(B) Only interest
(C) Only EMI
(D) Only collateral

Q13. In rural India, the main informal sources of credit are:

(A) Banks
(B) Moneylenders, traders, friends, employers
(C) Insurance
(D) ATM only

Q14. A debt trap arises when:

(A) Loans are repaid easily
(B) Borrowers cannot repay and have to take fresh loans
(C) No loan is taken
(D) Only banks lend

Q15. Self Help Groups (SHGs) generally consist of:
(A) 15–20 members from a neighbourhood
(B) One person
(C) Government officials
(D) Foreign banks

Q16. SHGs help mainly through:
(A) Pooling savings and lending small amounts
(B) Foreign exchange
(C) Insurance
(D) Stock trading

Q17. The Grameen Bank model began in:
(A) India
(B) Bangladesh
(C) China
(D) Pakistan

Q18. Muhammad Yunus is associated with:
(A) Polio vaccine
(B) Microcredit (Grameen Bank)
(C) Internet
(D) Currency

Q19. Cheap and affordable credit is critical for:
(A) Country's development
(B) Lottery
(C) Tourism
(D) Sports

Q20. Most loans from formal sources require:
(A) No paperwork
(B) Collateral and proper documentation
(C) Family member
(D) No interest

Q21. Informal lenders typically charge:
(A) Lower interest than banks
(B) Higher interest than banks
(C) Same rate
(D) No interest

Q22. The supervision of cooperative banks and others lies with the:
(A) RBI
(B) Finance Ministry directly
(C) Each state alone
(D) Foreign banks

Q23. Demonetisation of high-value notes in India happened in:
(A) 2014
(B) 2016
(C) 2018
(D) 2020

Q24. NEFT, RTGS, IMPS are forms of:
(A) Currency
(B) Electronic fund transfers
(C) Insurance
(D) Loans

Q25. Which of these is not money in the modern sense?
(A) Currency
(B) Demand deposits
(C) Cheques
(D) Goods exchanged in barter

— End of Worksheet —